

MRTTP Act was to be so tweaked that industries need not seek any prior approval for expansion, merger, takeover, amalgamation, or diversification. MRTTP Commission could, suo moto or on complaint, check if any industrial establishment was indulging in monopolistic, restrictive, or unfair trade practices and take appropriate action.

Check Your Progress 3

- 1) What triggered the BoP crisis in 1991?

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- 2) Why did the Government negotiate non-concessional loans with IMF and World Bank?

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- 3) What were some immediate steps taken by the Government to address the BoP crisis?

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7.5 REFORMS FOR MACROECONOMIC STABILISATION

It can broadly be said that the World Bank as a development bank lends over a long-term horizon which generally helps a country with finances to carry out its long-term projects, while International Monetary Fund help a country to tide over short-term Balance of Payments difficulties. Both generally provide finance in terms of certain foreign currencies constituting Special Drawing Rights (SDR) presently – U.S. dollar, Euro, Chinese yuan, Japanese yen, and Pound sterling. Both help a country in terms of desired foreign currency assets, which can be used for meeting international liquidity obligations. As lenders, both the institutions have been found to impose certain conditions – often referred to as conditionalities if the borrowing country is not able to procure credit from

commercial channels on affordable terms. World Bank insists on reforms in specific sectors— often called structural adjustments, and IMF insists on reforms in macroeconomic policies – fiscal, monetary and exchange rate policies. But both consult each other on each negotiation as IMF has started giving loans for medium terms which goes beyond original mandate of tiding over BoP difficulties.

7.5.1 Fiscal Reforms

An important macroeconomic parameter of focus under the stabilisation framework is fiscal deficit. In a world where fiscal deficit is considered inevitable or unavoidable for spurring growth, containing unemployment, and carrying out welfare measures (not, necessarily reducing inequality), containment of fiscal deficit to a reasonable level is considered a desirable first step in stabilising an economy. Beyond that desired level of fiscal deficit, not only is the value of domestic currency threatened and can get eroded internally but it can lose value externally as well. This desired level of fiscal deficit would vary from country to country and is usually contested by academicians and scholars, but policy-makers may agree that for a developing country like India it could be around 3 per cent of GDP.

This fiscal balance has to be ensured by managing efficiently both revenue side – basically taxation and expenditure side so that borrowing is not too high and that debt servicing does not dominate revenue expenditure through rising interest payment. Keeping this in mind, tax rates which went on increasing during 1950-70, were moderated substantially – guided by the thinking underpinning the Laffer's curve hypothesis. Tax nets were widened while exemptions and deductions were pruned; tax structure was reoriented in favour of direct taxes as indirect taxes are seen to be price distortionary and regressive in nature; attempt was made to change the basis of indirect taxes from gross sales proceeds to value added; customs duties had to be brought down in keeping with the new economic thinking as well as in compliance to WTO rules; attempts were made to realise higher profits and dividends from public sector enterprises; efforts were also made to recover cost from sale of services provided by government (whether transport, power or irrigation); and improved fees were realised for use/allocation of natural resources through better price discovery mechanism (whether oil, gas, coal, minerals, or spectrum). There were political impediments and success was limited as some of these steps were also undermined by scams.

Attempts were made to streamline public expenditure by abolishing/and improved targeting of subsidies; downsizing/rightsizing staff, abolishing administered price mechanism in some sectors like oil and gas; lowering interest payment by improving management of public borrowings; and modernising and rationalising defencespending.

Despite a slew of reforms, the two sides of the budget could not match well, necessitating heavy borrowing and at times borrowing to service past borrowing. It was finally considered prudent to bind the government by Fiscal Responsibility and Budget Management (FRBM) Act, which could be passed in 2003. The Act has put limits to fiscal deficit, revenue deficit, level of debt and contingency liabilities and stipulated annual reduction in each of them. Though the Act had provided an escape route to deal with situation that arose during 2008, yet the Act itself had to be amended in 2012 and 2015. Timelines for meeting the FRBM targets had to postponed repeatedly.

7.5.2 Monetary and Financial Reforms

Fiscal policy relates to the Government and has to be formulated to provide finances to the Government and implemented under the guidance of the Ministry of Finance, by different administrative agencies. Monetary policy and financial policy are formulated and implemented largely by the country's Central Bank which is the Reserve Bank of India (RBI) in the case of India. Fiscal and the monetary policy are financially linked through Government's debt instruments. The Indian financial system of the pre-reform period essentially catered to the needs of planned development in a mixed-economy framework where the Government sector had a predominant role in the economic activity. It was felt that there had been too much direction and regulation from government on financial sector operations, in terms of investment, credit allocation, branch expansion, and even internal autonomy of financial institutions. As a result, Public Sector Banks and other financial institutions failed to use their commercial judgement in ensuring efficiency in their operations with respect to rate of return, profitability, maintaining capital adequacy, minimising non-performing assets, or providing satisfactory customer service. They turned to become 'service' organisations whose financial problems would inevitably be taken care of by the Government. This had to change.

Traditional monetary and financial instruments were largely inflexible– not reflecting demand and supply forces of the market, and there was urgent need for reforms. India embarked on a substantial liberalisation in the early nineties. Two official reports, viz., the Report of the Committee on Financial System (Reserve Bank of India, 1991) and the Report of the Committee on Banking Sector Reforms (Government of India, 1998), both chaired by M Narasimham established the foundation of the financial sector reforms post 1991. The Narasimham Committee 1991, devoted to enhancing operational freedom in the commercial banking sector, recommended measures like reduction of pre-emption of banks' investible resources [via a reduction of cash reserve ratio (CRR) and statutory liquidity ratio (SLR)]¹ and gradual elimination of the administered interest rate structure. Narasimham Committee 1998 recommended further measures for modernising the banking sector through better regulation and supervision, and introduction of prudential norms. It also suggested a review of the bank ownership structure in India.

Other elements of financial sector reforms in India include significant reduction of fiscal dominance of monetary policy² (including removal of automatic monetisation of fiscal deficit); dismantling of the complex administered interest rate structure to enable the process of price discovery; providing operational and functional autonomy to public sector institutions; preparing the financial system for increasing international competition; opening the external sector in a calibrated

¹gradual reduction of CRR from 15% to about 4%, and reduction in the SLR from nearly 40% to 21.5% between the early 1990s and the mid-2010s have made a huge improvement to the availability of lendable resources to the banking sector.

²Fiscal dominance of monetary policy has moderated in India as a result of a series of fiscal and monetary policy reforms that include, (i) moving to a market-determined interest rate system by introducing auctions of government debt, (ii) phasing out of the automatic monetisation of fiscal deficits through the two Supplemental Agreements between the Government of India and the Reserve Bank of India, and (iii) curbing the monetisation of debt by enacting the Fiscal Responsibility and Budget Management (FRBM) Act, 2003 that prevented the Reserve Bank from subscribing to primary issuances of government securities from April 1, 2006.